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Mara Heritage Bank Board Pack — Q3 2025

Board Chair and Chief Executive Officer · 25 June 2025

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Executive summary

Fifteen months into the five-year plan, the bank faces a strategic checkpoint. Digital operational delivery exceeds targets: mobile transactions run at 2.4× baseline, uptime holds at 99.6%, and cost-to-serve on retail customers has fallen 18%. The capital position remains comfortable at 16.4% CET1, 240 basis points above the internal floor. Two concentrations require board attention: real estate exposure has drifted to 31.2% against a 25% internal guideline, and digital lending NPLs have reached 9% against the 6-7% originally modelled. The CFO now assesses steady-state digital NPLs may settle in the 8-11% range. Management recommends pivoting the digital lending product mix toward secured SME credit, reducing the FY28 digital revenue target from 18% to 16%, and redirecting capital allocation accordingly. The board is asked to approve this strategic refresh, confirm the revised capital allocation framework, and decide whether external validation of the revised cohort assumptions is required before execution.

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Performance Against Strategic Plan

Operational delivery strong; revenue mix transition ahead of schedule but at higher cost

The digital infrastructure build is producing expected operational benefits. Mobile transaction volumes stand at 2.4× the FY24 baseline. Digital channel uptime has held at 99.6% over the quarter. Customer satisfaction scores on digital channels have reached parity with the best peer in the market. Cost-to-serve on retail customers has fallen 18%, and branch traffic on routine transactions is down 31%. The technology platform investment is working.

Digital lending has crossed 9% of risk-weighted assets, ahead of the original trajectory. This is not an execution problem—it is a cohort dynamics problem. NPLs on the digital lending book have reached 9% against the 6-7% steady state anticipated in the original strategy approval. The CFO's current assessment is that steady state may settle in the 8-11% range. At the revised NPL assumption, the FY28 digital revenue target of 18% requires substantially more book growth or a different product mix.

The corporate banking franchise continues to generate the cash flows that fund strategic transformation. ROE held at 15.2% in Q3. Provisioning on the corporate book compressed to 68% from a 74% baseline, indicating credit quality remains sound despite concentration. Real estate exposure has drifted to 31.2% of the loan book against a 25% internal guideline, driven by client demand and relationship deepening rather than portfolio strategy. This is a structural risk that requires active management, not a near-term credit concern.

Management's assessment: operational execution is on track, but the digital lending thesis requires strategic adjustment. The original cohort model underestimated steady-state NPLs. Defending the 18% digital revenue target under revised assumptions would require accepting higher near-term volatility and larger loss provisions than the original business case contemplated. [], [], [], []

Capital Position and Allocation Framework

CET1 headroom provides strategic flexibility; allocation priorities shifting toward SME

The bank's CET1 ratio at end-Q3 stood at 16.4%, providing 240 basis points of headroom against the internal floor of 14%. Total capital ratio of 19.1% sits comfortably above the regulatory minimum. The headroom has been preserved despite real estate concentration drift because risk-weighted assets have grown more slowly than the loan book due to mix shift. The capital position supports strategic recalibration without external capital raising.

The Strategic Capital Allocation Framework reserves 100-150 basis points of CET1 headroom for opportunistic deployment—strategic acquisitions, market dislocation opportunities, or counter-cyclical book growth. Corporate banking (currently 62% of RWAs) is allocated sufficient capital to maintain market position and selectively grow with target clients, but not to increase concentration further. New corporate facilities in real estate must clear hurdle rates that reflect the loaded concentration weight.

SME lending currently sits at 14% of RWAs with explicit growth capacity to 12-15% by FY28. The strategic plan identifies SME book growth as the primary mechanism for diversifying away from corporate concentration. SME credit losses are expected to run higher than corporate but are offset by higher margin and lower single-name concentration risk. The revised digital strategy contemplates pivoting digital lending product mix toward secured SME digital lending, which would accelerate SME penetration while de-risking the digital book.

Digital lending (currently 6% of RWAs) was allocated growth capacity to 12-15% of RWAs by FY28 under the original strategy, with explicit cohort-based capital reservation. The allocation was designed to increase as cohort performance was observed, with the option to slow or accelerate based on actual NPL trajectory. The revised cohort assumptions now trigger the reassessment provision: material divergence from modelled path requires board review of capital allocation and strategic targets. [], []

Strategic Refresh: Digital Lending Product Mix

CEO recommends pivoting toward secured SME, reducing FY28 target to 16%

Three options are before the board. Option 1: maintain the FY28 digital revenue target at 18%, accept the higher NPL trajectory, and scale the unsecured consumer book faster to compensate. Implication: higher near-term losses, FY28 target achievable on revised assumptions, but with more volatility in the digital book. Option 2: reduce the FY28 digital revenue target to 14-15%, recalibrate to the realistic NPL trajectory, and redirect capital to other diversification levers. Implication: more conservative trajectory, lower volatility, but requires explanation in next investor communication and may compromise the bank's narrative on transformation pace.

Option 3: pivot the digital lending product mix away from unsecured consumer credit toward secured SME digital lending, adjust the FY28 digital revenue target to 16%. Implication: solves two problems simultaneously—reduces unsecured consumer NPL exposure and accelerates SME diversification away from corporate real estate concentration. Requires product development capacity and SME credit infrastructure build, but aligns with existing SME growth trajectory in the Strategic Capital Allocation Framework.

The CEO recommends Option 3, with the digital revenue target adjusted to 16% from the original 18%. The recommendation rests on the judgement that the unsecured consumer digital lending

thesis was a strategic error—the cohort dynamics were not adequately understood at the original strategy approval—and that pivoting now is preferable to defending the original choice. The revised target of 16% sits between the original ambition and a full retreat, signalling disciplined recalibration rather than strategic reversal.

Option 3 is consistent with the five-year plan's Option C framing: incremental digital capability build with milestones that allow course correction. The Strategic Plan explicitly contemplates material divergence review, defined as more than 200 basis points off path on any of the five targets. Digital lending NPLs tracking 200-400 basis points above the modelled path trigger the planned reassessment. The question is not whether to adjust—it is how, and at what cost to strategic momentum. [], [], []

> "The unsecured consumer digital lending thesis was a strategic error—the cohort dynamics were not adequately understood at the original strategy approval—and pivoting now is preferable to defending the original choice."

Risk Management and Validation

Two concentrations persist; board must decide if external review is required

Real estate concentration stands at 31.2% against a 25% internal guideline. Provisioning has compressed to 68% from 74%, indicating credit quality on the corporate book remains sound. The concentration is structural—driven by client relationships and sectoral depth—not a near-term credit risk. The risk is portfolio resilience in a real estate downturn. Active management is required: new corporate facilities in real estate must clear higher hurdle rates, and SME diversification must accelerate to bring the concentration ratio down over the FY26-28 horizon.

Digital lending NPLs present a different risk profile. The original cohort model anticipated 6-7% steady state; actuals have crossed 9% in Q3 and the CFO now assesses the steady state may settle in the 8-11% range. The wide confidence interval reflects modelling uncertainty: cohort vintages are still maturing, and sector-wide digital credit tightening complicates peer benchmarking. The risk is not current portfolio performance—it is whether the revised assumptions are robust enough to anchor a strategic pivot.

The board must decide whether external validation is required before committing to the strategic refresh. The case for external review: if the original cohort model was insufficiently understood, an independent credit risk review of the revised assumptions would provide third-party assurance and reduce the risk of repeating the modelling error. The case against: external reviews take 8-12 weeks, delay the pivot, and may not materially improve the cohort forecast given limited sector history on digital unsecured consumer credit.

Management's position: the revised cohort assumptions are based on observed vintage performance, not forward projection, and the pivot toward secured SME reduces reliance on the

unsecured consumer model. The transition can be staged: scale secured SME digital lending first, observe cohort performance, retain the option to slow or accelerate based on actual results. This approach limits downside if the revised assumptions prove optimistic while maintaining strategic momentum. [], [], [], []

Governance and Stakeholder Communication

Investor narrative and regulatory disclosure require careful framing

The strategic refresh will be disclosed in the next investor communication. Reducing the FY28 digital revenue target from 18% to 16% requires explanation. The framing options: frame it as disciplined capital allocation and risk management (we are redirecting capital toward higher-quality secured lending), or frame it as course correction within the five-year plan's flexibility provisions (Option C explicitly contemplated milestones that allow adjustment). The risk is that investors interpret the revision as management backing away from digital transformation rather than recalibrating the product mix.

Regulatory disclosure obligations depend on whether the pivot materially affects the bank's risk profile or capital trajectory. The current assessment is that it does not: CET1 remains comfortably above floors, and the pivot is within the Strategic Capital Allocation Framework's business-as-usual discretion. If the board requires external validation or materially slows the digital lending book growth, that may trigger a disclosure obligation under prudential standards.

The board's decision on external review has governance implications. If the board approves Option 3 without external validation, the minutes should record the basis for confidence in the revised cohort assumptions and the staged rollout that limits downside risk. If the board requires external validation, the minutes should record the scope, timeline, and decision criteria for proceeding with the pivot post-review. []

Decisions Required

Three approvals and one scoping decision

The board is asked to approve the strategic refresh: pivot digital lending product mix toward secured SME digital lending, reduce the FY28 digital revenue target from 18% to 16%, and maintain the five-year plan's other targets (loan book growth 12-15% CAGR, cost-to-income 48% by FY28, ROE 18% sustained from FY27, CET1 ratio above 14% through the cycle).

The board is asked to approve the revised capital allocation framework: SME lending grows to 12-15% of RWAs by FY28, digital lending recalibrated to secured product mix with capital allocation staged by observed cohort performance, corporate banking capital sufficient to

maintain market position but not to increase real estate concentration, and 100-150 basis points of CET1 headroom reserved for opportunistic deployment.

The board is asked to approve management's approach to transition risk: scale secured SME digital lending first, observe cohort performance over two quarters, retain the option to slow or accelerate based on actual NPL trajectory, and manage the existing unsecured digital book to maturity without new origination in that segment.

The board must decide whether to require external validation of the revised cohort assumptions before executing the pivot. Management recommends proceeding without external review, relying on the staged rollout to limit downside risk. If the board requires external review, management requests a scoping session within two weeks to define terms of reference and timeline, with the strategic refresh held pending review completion. [], [], []

Recommendations

1. Board — approve strategic refresh (Option 3: pivot to secured SME digital lending, 16% FY28 target) by 25 June 2025

2. Board — approve revised capital allocation framework (SME 12-15% RWAs by FY28, digital staged by cohort performance) by 25 June 2025

3. Board — decide whether external validation of revised cohort assumptions is required before execution by 25 June 2025

4. CEO and CFO — prepare investor communication framing the strategic refresh as disciplined capital allocation by 15 July 2025

5. CRO — present staged rollout plan for secured SME digital lending with cohort performance gates by next board meeting (Q4 2025)

6. Corporate Banking — implement concentration management protocols (higher hurdle rates for new real estate facilities) by 31 August 2025

7. CFO — assess whether strategic refresh triggers regulatory disclosure obligation under prudential standards by 30 June 2025

Sources

[1] mara-heritage-bank-board-pack-q3-2025.docx

[2] mara-heritage-bank-board-pack-q3-2025.docx

[3] Digital Transformation Strategy — Strategic Refresh

[4] Strategic Capital Allocation Framework

[5] Five-Year Strategic Plan 2024-2028 — Executive Summary